2. **The Balance of Payments councils consists of**
   (a) Current Account
   (b) Capital Account
   (c) Receipts and Payments Account
   (d) Both Current Account and Capital Account

3. **Foreign capital long- term loan and foreign currency reserve are recorded under**
   (a) Official Capital
   (b) Private Capital
   (c) Banking Capital
   (d) Both Private and Official Capital




4. **The term official capital includes**
   (a) RBI holdings of foreign currencies
   (b) Special Drawing Rights held by the Government
   (c) Both A and B
   (d) Foreign Investment

5. **Balance of payments surplus indicates**
   (a) Exports are more than the Imports
   (b) Imports are more than Exports
   (c) Exports and Imports are at Equilibrium
   (d) Exports and Imports are above Equilibrium

**Answer**

1. (a) 2. (d) 3. (b) 4. (c) 5. (a)

## II. Very Short Answer Questions

1. What do you mean by Balance of Payments?
2. What do you mean by Balance of Trade?

## III. Short Answer Questions

1. What are the credit items shown in current accounts? (any 3)
2. State the components of Capital account.

## IV. Long Answer Questions

1. Write any five features of Balance of Payments.
2. Distinguish between balance of payment and balance of trade. (any 5)

## Reference


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